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Flip Your First House

The step-by-step system from my first flip --
comps, contract, bank, build, sale.
Real numbers, including what went wrong.

Real numbers from real Tulsa-area flips. Including the losses.

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Read This First

I'm Kevin King. I flip houses in and around Tulsa, Oklahoma. Licensed in 2018, around 200 closings since, and I run my own flips as my own general contractor.

This book teaches you the sequence of a first flip -- in the order things actually happen. Each chapter is one step. At the end of each step, a box tells you exactly what to do next. Do them in order.

The examples are my real deals. The spine is my actual first flip -- 104 W Bryan Avenue, Sapulpa, Oklahoma, bought at the end of 2020 -- plus stories from flips since, including one where I ran out of money on day 122 and one where a mistake cost me \$27,000 on a house I no longer owned. Where I don't have an exact number, I say so. I don't make numbers up and neither should you.

The order matters more than anything else in this book:

1. **Run comps.** Know what the finished house sells for before anything else.
2. **Do the backwards math.** That tells you your max offer.
3. **Write the contract.** You need a contract before a bank will do anything.
4. **Take the contract to the bank.** The bank orders an appraisal -- the as-completed value. Everything swings on that number.
5. **Scope and budget in trade buckets.**
6. **Run the build.** Fast.
7. **Handle it when it breaks.** Something will.
8. **Stage it, price it at the comps, sell it.**

You make your money when you buy. Not when you renovate. Not when you sell.

THE STEPS

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STEP 1

Run the Comps

Before you write a contract -- before you even get serious about a house -- you run comps to see what it's going to be worth finished. That finished number is your ARV (after-repair value), and every other number in the deal hangs off it.

How to comp it:

- **Sold, not listed.** Asking prices are opinions. Sold prices are facts.
- **Finished houses only.** You're comping what yours will be, not what it is.
- **Same pocket.** Same neighborhood, same school draw. A mile can change everything.
- **Similar size and age.** Don't comp your 1,500 square feet against 2,200.
- **Recent.** The last few months, not last few years.
- **Use the boring comps.** Your ARV is what the middle of the pack says -- never the one outlier that sold high.

Be conservative. Here's why it's not optional: the bank is going to hire its own appraiser to answer this exact question (Step 4), and the deal will live or die on that appraiser's number -- not yours. If your ARV is a fantasy, the appraisal will tell on you after you're already under contract. Comp like an appraiser: boring, recent, nearby, sold.

DO THIS NEXT

1. Pick one small area you can learn cold.
2. Pull the last 3-6 months of sold, renovated houses in it.
3. Practice: guess the sold price from photos before you look. Repeat until your guesses land close.
4. For any house you're considering: write down your ARV and the 3-5 comps behind it. You'll hand these to the bank later.

STEP 2

Do the Backwards Math

Every deal I do has to pass one test:

All-in must be 78 to 80 percent of ARV.

All-in means everything -- purchase, rehab, holding costs, selling costs. You don't start from the asking price. You start from the ARV and subtract your way down to the most you're allowed to pay.

The backwards math, in order

1. ARV (from Step 1) x 0.78 to 0.80 = your maximum all-in.
2. Subtract your rehab budget (Step 5 shows you how to build it).
3. Subtract holding costs -- loan interest, insurance, utilities, for your whole timeline. Plan the remodel in months, then add about 45 days on market.
4. Subtract selling costs -- commission plus closing costs.
5. What's left is your max offer. Not the asking price. This number.

Most houses fail this math. That's the system working. You're not looking for a house -- you're looking for a number that survives.

Honest example: my first flip didn't pass this rule, because I didn't have the rule yet. The appraisal came back at \$105,000 as-completed, and my purchase plus rehab budget alone was about \$94,800 -- 90 percent of value before holding, selling, or interest. It only worked because the 2021-2022 market ran hard and it sold at \$140,000. The market bailed me out. Don't build a deal that needs bailing out.

DO THIS NEXT

1. Take your ARV from Step 1. Multiply by 0.78 and 0.80. Write both numbers down.
2. Rough your rehab (Step 5), holding, and selling costs. Subtract them.
3. The result is your max offer. Write it on the top of the file for that house.
4. If the max offer is way under asking -- offer it anyway or walk. Never negotiate against your own math.

STEP 3

Write the Contract

You have to have a contract before a bank will do anything with you. Not a conversation, not a wish -- a signed contract on the house. So once the math works, you write the offer.

What the contract does for you:

- **Earnest money** goes up when you sign -- real money that goes hard after your inspection window. Know your deadlines cold.
- **The inspection period** is your renegotiation window. This is where the facts get to reprice the deal.
- **Buy facts during inspection.** Anything structural -- pay a structural engineer. A few hundred dollars for the most important document in the deal.

Here's how that played out on my first flip. I put 104 W Bryan under contract in October 2020 at **\$57,500**. Visible structural problems -- the kind that scare off retail buyers, which is exactly where the discount comes from. Fear is where the margin lives, but only if you replace it with facts.

The engineer's report found foundation movement on all four corners, roof sag, uneven floors. Sounds like a death sentence. Same report: don't do a full foundation repair -- new crawl-space piers is the right fix. I budgeted **\$6,000** for it. The scary word and the actual fix are usually two different sizes.

Then I used the report. Took the findings to the seller, negotiated a \$10,000 price reduction, signed as a supplement. Closed at **\$47,500**.

Negotiate with documents, not opinions. A seller can argue with your feelings. It's hard to argue with a stamped report.

DO THIS NEXT

1. Offer at or below your max from Step 2.
2. Put your inspection-period and earnest-money deadlines in your phone the day you sign.
3. Book inspections immediately. Structural concern = structural engineer, not a guess.
4. If inspection finds real cost, reprice the deal in writing -- reduction or repairs -- or walk before your earnest money goes hard.

STEP 4

Take It to the Bank

Now -- and only now -- you go to the bank. The order is strict: comps, then contract, then bank. A bank can't work with a house you don't have under contract.

Here's exactly how the bank side works:

1. **You bring a package:** the signed contract, your sold comps, and your scope and budget broken out by trade (Step 5). You're presenting a business, not a hope.
2. **The bank orders an appraisal.** Their appraiser goes out and produces an **as-completed value** -- what the house will be worth once your scope of work is done.
3. **Everything swings on that hinge.** The as-completed value is the number the whole deal hangs on from here.
4. **The bank usually lends about 80 percent of the as-completed value.**
5. **Sometimes they'll still require you to put down a percentage of your cost** on top of that. Ask exactly how they calculate it before you commit.

This is why Step 1 said comp like an appraiser. If your comps were honest, the as-completed appraisal confirms your deal. If they were wishful, the appraisal comes in low, 80 percent of it doesn't cover your project, and you're finding cash you didn't plan for -- while under contract.

My first flip, real terms: Chickasaw Community Bank -- a small local community bank, not a national one. Interest-only construction draw loan. Interest-only means during the project you pay only the interest each month, which keeps the bleed small while the house can't pay for itself. Draw loan means the rehab money comes in stages: you do work, they inspect, they release funds. The appraisal on Bryan came back at **\$105,000 as-completed** -- and that number is what let the project move.

The down payment: I didn't have it. I borrowed roughly \$9,500 from a friend at 10 percent annual interest. I'm not telling you that's the safest move -- I'm telling you what I did. If you borrow from someone you know, put the terms on paper and treat that debt as more sacred than the bank's.

For later, so you know it exists: private money. On a recent flip I used a private lender at 1 percent per month on the outstanding balance. Fast, simple, expensive -- and it's why speed matters so much once you own the house.

DO THIS NEXT

1. Before you even have a deal: visit 2-3 small local banks. Ask: do you lend on renovation projects, what's in your package, what percent of as-completed value do you lend, and what do I put down?
2. Know where your down payment comes from -- even if it's borrowed at a fair written rate like mine was.
3. Once under contract: deliver the package -- contract, comps, trade-bucket budget.
4. When the appraisal comes back, redo your Step 2 math with the appraiser's number, not yours. If it still passes, keep going.

STEP 5

Budget in Trade Buckets

Don't budget a flip in line items -- 40 sheets of drywall, 12 cans of paint. You'll drown. Budget in trade buckets: one number per trade, labor and material together. That's how the work gets bid, scheduled, and paid.

The buckets -- and my actual crew today, one name per trade:

- **Framing / structural** -- Ismael
- **Plumbing** -- Don
- **Electrical** -- Hugo
- **Tile and waterproofing** -- Richie
- **Drywall, paint, finish** -- Daniel
- **Floors** -- Marcos
- **Exterior / siding** -- Monte
- **Landscaping** -- Miguel
- **Roof** -- Robert

One name per trade. I didn't bid every job three ways -- I did the vetting once, over years, and built a bench. You won't have this list on day one. I didn't either. On my first flip the whole crew was three licensed subs -- Ismael on framing, Don on plumbing, Hugo on electrical -- plus a generalist I found on Facebook Marketplace who did most of the finish work. That's where a first-timer with no network actually finds people, and I'm not embarrassed by it.

The rule of buckets: **licensed trades get licensed people**. Plumbing, electrical, roof, structural -- never the place to save money with a handyman. Paint, trim, demo, cleanup -- that's where a good generalist earns his keep.

My first-flip budget, real numbers

Total budgeted rehab: **\$47,300**, labor and materials, built bucket by bucket -- on a \$47,500 house. Yes: the rehab budget matched the purchase price almost dollar for dollar.

Inside it: \$6,000 for the crawl-space piers the engineer called for.

What I can't hand you: the exact final spend. We ran over in places and I never fully reconstructed the actuals. Track yours as you go -- every invoice into its bucket the day you pay it.

Put **5 percent contingency** on top of whatever you scope. It's for what the house hides -- not for upgrades you talk yourself into at the tile store.

DO THIS NEXT

1. Walk the house room by room. Write what stays, what goes, what's unknown.
2. Turn that into one number per trade bucket, labor and material together.
3. Add 5 percent contingency on top.
4. This budget goes in your bank package (Step 4) -- so build it before you think you need it.

STEP 6

Run the Build

As your own GC, your job is three things: schedule the trades in the right order, pay people fast and fair, and keep the budget. You're not laying tile. My hands-on work these days is trim, punch-list, and writing checks.

The order:

1. Structural and dry-in -- foundation, framing, roof.
2. Rough mechanicals while walls are open -- plumbing, electrical, HVAC.
3. Drywall.
4. Finishes -- cabinets, tile, trim, paint.
5. Floors near the end, so nobody destroys them.
6. Exterior and landscaping last, so it shows well.

Every trade you let in out of order costs you a redo. And pay subs on time, every time -- the reason I have the same names on every project is they know my money is good. Your reputation with trades is built in about two payments.

Now the story that changed how I run projects. A recent flip, fully funded by a private lender at 1 percent a month. I ran out of money on **day 122**.

Not from a stupid budget -- from over-demo. I pulled all the trim and all the cabinets, and the house started confessing: foundation needed leveling, whole house needed replumbed, full HVAC replacement, big ceiling drywall from water damage. New trim alone was \$11,000. Cabinets, counters, appliances on top. The cash ran out with the house torn open.

Three options: ask the lender for more, bring in a partner and give up equity, or sit 60-90 days self-funding while paying 1 percent a month on a dead project. I called the lender and told him the truth -- what happened, what it needed, why the deal was still solid underneath. He funded the rest.

Lenders don't kill you for problems. They kill you for surprises.

The other lesson: when you're paying interest monthly, **slow is the most expensive thing on the job site**. Spending \$100,000 in 45 days feels reckless. Mathematically it's the opposite -- every month you cut off the timeline is interest you never pay. It feels wrong. Do the math anyway.

DO THIS NEXT

1. Build the trade schedule in the order above before demo starts.
2. Make decisions fast -- selections, change calls, the next sub. Stalls cost interest.
3. Pay every invoice on time and log it in its bucket the same day.
4. Check spend against budget weekly, not at the end.

STEP 7

When It Breaks

Something will break. Read this step twice -- everything in it cost me real money.

The \$27,000 roof. Bigger flip: bought \$230,000, about \$170,000 of renovation, sold \$475,000. A buyer repair request had me put on a new roof before closing -- \$15,000. I didn't verify the HOA's roof requirements first. The HOA rejected the color. After closing, on a house I no longer owned, I paid another \$12,000 to tear it off and redo it. \$27,000. The roofer wasn't the villain -- he did excellent work and even discounted it. Nobody to blame but me. The rule now: verify anything a third party can veto -- HOA, city, county -- before money moves.

The \$30,000 handshake. Brought a partner into a deal with about \$100,000 of rehab. He was supposed to split overages. He didn't. I floated \$30,000. We still made money -- the deal was solid, the structure wasn't. Every partnership term goes on paper before anyone swings a hammer, especially the boring terms about who pays when the budget breaks.

The moment I worried on my first flip: reading "foundation movement at all four corners" on a house I had under contract, with a borrowed down payment and zero flips behind me. The honest thought was: I might be buying a house nobody can fix. What got me through wasn't confidence -- it was a \$6,000 fix in black and white from a guy whose job is knowing. Facts beat fear. Buy facts early. They're the cheapest thing on the project.

DO THIS NEXT

1. Before money moves: check HOA, city, and county rules on anything you plan to touch.
2. Any partnership: overage terms on paper, signed, before work starts.
3. The day you find a problem: call your lender. Same day.
4. Feeling fear about something specific? Buy the report that turns it into a number.

STEP 8

Sell It

You don't get paid for the renovation. You get paid for how the house feels the day a buyer walks in.

I had a flip -- gorgeous renovation, everything done right -- sit **30 days with no offers**. I was close to cutting the price. Instead we staged it: furniture, lighting, the vibe set. The offer that came in after staging was cash, no contingencies.

Same house. Same price. The only change was staging.

How I exit now:

- **Stage it.** Empty reads cold. Staging is the last trade on the job -- budget for it like paint.
- **Price at the comps.** Your list price was decided in Step 1 -- list there. Don't chase a fantasy number; stale is its own discount.
- **Plan about 45 days on market** after the remodel, and carry holding costs for the whole stretch.
- **Make it show:** exterior clean, landscaping done, lights on, spotless.

Timeline honesty: my first flip closed in January 2021 and sold in April 2022 -- fifteen months, start to sold. First flips are slow: you're learning, your crew is thin, money comes in draws. Budget holding costs for the timeline you'll actually have, not the one on YouTube.

It sold for **\$140,000** against a \$105,000 as-completed appraisal from late 2020. The gap was mostly the 2021-2022 market run. I said it in Step 2 and I'll say it here so it sticks: I got lucky on timing. Build deals that work without luck.

And know how you get paid: your profit is the cash you get at closing when you sell -- the title company pays off the bank, pays back your lenders, covers selling costs, and the check left over is yours. That check is the scoreboard.

DO THIS NEXT

1. Book staging before the remodel finishes, not after it sits.
2. List at the number your comps support -- the same discipline as Step 1.
3. Finish the exterior completely before photos. Photos are the first showing.
4. If it sits: fix feel and presentation first, price second.

STEP 9

My First Flip, Numbers Flat

104 W Bryan Avenue, Sapulpa, Oklahoma. The whole deal in one place. Where I don't have a number, the table says so.

Under contract (October 2020)	\$57,500
Price reduction after engineer's report (signed supplement)	- \$10,000
Closed (January 2021)	\$47,500
Budgeted rehab, all trade buckets, labor + material	\$47,300
Inside it: crawl-space piers per the engineer	\$6,000
Purchase + budgeted rehab, before holding/selling	\$94,800
As-completed appraisal (October 2020)	\$105,000
Sold (April 2022)	\$140,000

Financing: Chickasaw Community Bank, interest-only construction draw loan, funded off the \$105,000 as-completed appraisal. Down payment: roughly \$9,500 borrowed from a friend at 10 percent annual. Crew: Ismael (framing), Don (plumbing), Hugo (electrical), plus a Facebook-Marketplace generalist on the finish work.

How I got paid -- and what I don't have

My profit on this deal was the cash I got at closing when it sold in April 2022. That's how a bank-financed flip pays you: the title company pays off the bank loan, my friend got his \$9,500 back plus his 10 percent, selling costs came out, and the check left over was mine.

What I don't have reconstructed: the exact amount of that check, the final rehab spend (we ran over in places), and the total holding costs across the 15-month hold.

What I can tell you: roughly \$45,000 of gross spread between budgeted all-in and the \$140,000 sale -- the check at closing was a good chunk less after payoffs, interest, holding, and selling costs. Still worth doing -- and half the reason it worked was a market run I didn't earn.

If that bothers you, good. Track yours better than I tracked mine -- every invoice in its bucket, the day you pay it.

STEP 10

The Whole System on One Page

1. **Line up money early.** Visit 2-3 small local banks before you have a deal. Learn their package, their percent of as-completed value, their down payment. Know where your down payment comes from.
2. **Run comps.** Sold, finished, nearby, recent, boring. That's your ARV.
3. **Backwards math.** $ARV \times 0.78-0.80$, minus rehab, holding, selling = max offer. Most houses fail. Good.
4. **Write the contract.** No contract, no bank. Know your earnest-money and inspection deadlines cold.
5. **Buy facts during inspection.** Engineer anything structural. Reprice the deal with the report.
6. **Bank package:** contract + comps + trade-bucket budget. Bank orders the appraisal. Everything swings on the as-completed value -- they lend about 80 percent of it, sometimes plus a percent of your cost down.
7. **Budget in buckets, add 5 percent contingency.** Licensed people on licensed trades.
8. **Build fast, in order, pay on time.** Slow is the expensive way to be careful.
9. **When it breaks, call your lender same day.** Problems are survivable. Surprises aren't.
10. **Stage it. Price at the comps. Write down every number as it happens.**

One thing I can't put in a checklist: there's a moment on every first flip where you're standing in a torn-open house wondering if you made a terrible mistake. I had it on deal one. I had it again on day 122 of a deal years later. That moment isn't the signal. The math you did before you bought is the signal. If the math was right, work the plan.

From the Driveway

Flipping isn't a personality. It's a sequence: comp it, math it, contract it, bank it, bucket it, build it fast, tell the truth when it breaks, stage it, sell it, write everything down. My first one was a \$47,500 house in Sapulpa with foundation movement on all four corners and a borrowed down payment. It took fifteen months, and the profit was the check I got at closing when it sold. It was still the deal that started everything -- around 200 closings since.

Your first one won't be clean either. Do it anyway. Do the math first.

-- Kevin

Questions? Text me.

Text me at **918-853-9182** or DM me on Instagram **@kevn.king**. Send me your question or your deal's numbers. If you're stuck on a step, tell me which one.

This book describes my own deals and decisions. It's experience, not legal, tax, or investment advice -- run your own numbers and your own professionals.